A00V1A-C 02119636

The remedy establishes contracts must be cancelled and the work returned to the craft for violations of the process mandated in Article 32. During the second remedy dispute hearing the service maintained this work was never performed by PVS. This serves to make this award more significant because the HCR contract was cancelled and the work deemed under the jurisdiction of the MVSD.

This arbitrator served as the Assistant Postmaster General, Acting Postmaster General and was designated as the Postal Services chief negotiator in headquarters during contract negotiations. Serving in those roles for the Postal Service and having a hand in craft and understanding of the clear intent and application of Article 32 enhances and magnifies the application of this award.

October 30, 2006

Joseph LaCapria
National Business Agent
Motor Vehicle Service Division
American Postal Workers Union

James Davidson
Area Labor Relations Specialist
New York Metro Area

Gentlemen:

This is concerning my decision in Case No. A00V1AC02119636 that was issued on June 26, 2005 along with several other decisions involving the Motor Vehicle Craft in the Queens P&DC. On February 9, 2006, another hearing on the remedies for the aforementioned case and another grievance was convened. The undersigned was not informed that was the purpose of the hearing until he arrived on February 9, 2006. As a result, I was not able to review the case files prior to the hearing or, for that matter, even bring them with me as a reference.

Upon receipt of the information supplied by the parties at the hearing in February, a decision was issued concerning the appropriate remedy for Case No. A00V1AC99195434. The remedy for the instant case was not as self evident in that the parties expressed disagreement concerning the actual number of runs that were impacted by the decision in Case No. A00V1AC99195434. This disagreement was not discussed by either of the parties during the initial hearing in this case and was not "undisputed" as was claimed by the Service in its final submission regarding this matter. In addition, the undersigned requested an opportunity to review his case file notes from the first hearing

and directed the parties to continue their discussions concerning the appropriate remedy. At a hearing in early June on another matter, Mr. LaCapria informed me that the parties had not made any progress in resolving their differences and that he had been authorized by Mr. Davidson to discuss this issue with me. I told Mr. LaCapria that the parties were to supply me with final submissions at their earliest convenience. These submissions were received by me in early July 2006. Both were dated June 21, 2006. I will not summarize the positions taken by either party since the only issue before me is the appropriate remedy in the instant case.

A review of the moving papers and the notes that the undersigned took at the initial hearing regarding the merits of this grievance that was held on March 22, 2005 reveal that the only appropriate way to determine the remedy in this case is to establish what the Union actually requested in the appeal associated with this case and, more importantly, what remedy the Union told management it was seeking during the processing of this grievance. According to the separate submissions of the parties in late June 2006, the Service asserts that the Union requested that two runs from Jamaica to the Bronx HASP be returned to the MVS Craft. The Union, on the other hand, submitted a copy of Highway Contract Route 11330 for the period from March 7, 2004 to March 3, 2006 that encompasses a total of 4179 hours and 20,045 miles annually. The Step 2 and Step 3 decisions issued by the Service both state that a temporary contract was established on July 1, 2001 and was terminated at the request of the contractor on March 8, 2002. The decisions stated that on March 9, 2002 a contract was let with another company to perform the same work. This apparently triggered the instant grievance that was initiated at Step 1 on March 27, 2002. The contract that the Union forwarded to me in its June 2006 submission covers the period from March 7, 2004 to March 3, 2006. It is not, therefore, the contract that is the subject of this grievance and is not instructive in fashioning a remedy in this case unless it can be established that it is the same as the contract that was let in March 2002 that triggered this grievance.

As a result, the undersigned is left with the remedy outlined by the Union in its original

appeal. It should be noted that the Union's request for information concerning HCR #11330 was made the day after the Step 1 grievance was filed. This request that was dated and initialed by the Craft Director on March 28, 2002, asking for information concerning the contract that was let for the Bronx HASP including the scope of the contract; the equipment requirements; a copy of the contract; and a cost comparison. It is clear that given the date of the Step 1 Grievance Outline Worksheet, the complete information regarding the contract was not in the hands of the Union at the time this form was prepared since the preparation date was March 27, 2002. On that grievance form contained in the moving papers the Union made the following statement:

"When the MVS at the QP&DC took over 2 runs from Jamaica to the Bronx/Hasp the runs were being performed by an outside contractor. Management at the time notified the Union, after grievances were filed that when the contract had expired the runs would be returned to the Motor Vehicle Craft in Flushing, since they had originally been Flushing runs and since management at Flushing MVS do not contract out runs. The Union has now first become aware that the contract had expired and the runs were given to a new contractor FSR. The Union was never notified of this new contract.

CORRECTIVE ACTION

1) The Bronx/HASP runs be returned to the MVS Craft immediately and put up for bid.
2) The TTO Drivers on the desired OT list are to receive overtime for all hours that the outside contractor is performing this run from the date that the original contract expired to the date the issue is resolved.
3) MVS management is to abide by the National and Local Agreements regarding contracting out."

While it is clear that the Union referenced two runs from Jamaica to the Bronx HASP in the statement section of the worksheet, the remedy portion contained a general remedy that referenced the "Bronx/HASP runs". It is equally clear that the Union did not have the specific information it requested when it completed the grievance form since, as

mentioned above, the request was not made until one day after the form was prepared.

A more instructive document concerning the remedy in this case was the Grievance Summary - Step 1 that was prepared by the Supervisor, Transportation Center who discussed this grievance at Step 1. In that document, the Service's Step 1 official identifies the issue in this matter as follows:

"Violation of subcontracting HCR Contract #11330
"Alleged none notification from Management."

In the next portion of the document, the Service's Step 1 official identifies the remedy requested by the Union at Step 1 as follows:

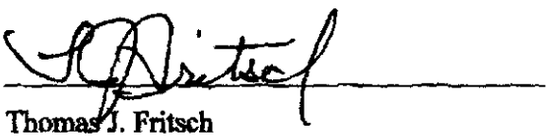
"Return service to Queens MVS, Management to notify the union prior to contracting HCR, and pay all Tractor-Trailer Operators on the O.T. list for all hours of contract."

This statement agrees with the general remedy requested by the Union in the remedy section of its Step 1 and Step 2 appeal. It should be noted that throughout the grievance procedure and at the hearing in this matter the Service maintained its position that the contract that is the subject of this grievance is temporary and is, therefore, excluded from the provisions of Article 32.2. In addition, concerning remedy, the Service contended that the Union did not establish that qualified MVS operators were available to perform the work. As was stated above, in the initial hearing the subject of how many runs were associated with HCR# 11330 was not raised by either party. In the first instance, the undersigned agreed with the Service that MVS operators were not entitled to any payment at the overtime rate since it was not proven that any MVS employee was deprived of work during that period. However, I agreed with the Union that the work contained in HCR #11330 that was let on March 9, 2002 and was further renewed on March 7, 2004 should be given to the Motor Vehicle Craft due to the contracting irregularities described in the June 26, 2005 award. The dates of these contracts are based on information

submitted by the Service over the Union's objection at the March 22, 2005 hearing in this matter. Therefore, the runs contained in the March 9, 2002 HCR #11330 must be given to the Motor Vehicle Craft to comply with the remedy granted in the aforementioned arbitration award.

Finally, I would be remiss if I did not comment on the letter dated July 12, 2005 from the Area office to the Union's Regional Coordinator that I was given at the remedy hearing in February 2006. In that letter the Area office opines that my decision in this case is inconsistent when viewed in terms of the other award that was issued concerning an earlier edition of this Highway Contract and that I returned "work back to the Motor Vehicle Craft that it never had in the first place." Neither of these assertions has any merit. In the case concerning the earlier edition of the same HCR that was dismissed, the Union failed to exercise its right to grieve for over three years and as a consequence its inaction was considered a waiver of any claim in regard to that specific contract. When a new contract was let, the Union had every right to initiate a new grievance over that contract and no claim was made by the Service at any stage of the grievance procedure that the Union's new claim was precluded or was untimely. Therefore, no inconsistency exists between the awards and no claim was made that the grievance was procedurally defective at any point in the grievance procedure.

Secondly, the claim that work was returned to the Craft that it never had displays a basic misunderstanding about the recognition clause contained in Article 1 that forms the foundation of the agreement between the parties. In those locations where the Motor Vehicle Craft has a presence, the transportation of bulk mail from location to location is the work of Motor Vehicle Craft employees. These employees are exclusively represented by the American Postal Workers Union--Motor Vehicle Employees, as specified in Article 1 of the National Agreement. Even though the Service has a right to choose to contract out that work under the conditions and within the requirements set forth in Article 32, that does not alter the fact that such work still falls under the jurisdiction of the Motor Vehicle Craft even though it is subcontracted.



Thomas J. Fritsch

Arbitrator

Cc: Liz Powell

Gary Johnston

REGULAR ARBITRATION PANEL

in the Matter of the Arbitration	( )	Grievant: Class Action
between	( )	Post Office: Flushing, NY
UNITED STATES POSTAL SERVICE	( )	USPS Case No: A00V1AC02119639
and	( )	APWU Case No:
AMERICAN POSTAL WORKERS UNION, AFL-CIO	( )	02PL2390

BEFORE: Thomas J. Fritsch, Arbitrator

APPEARANCES:

For the U.S. Postal Service:	J. Davidson
For the Union:	J. LaCapria M. Foster
Place of Hearing:	Flushing, NY
Date of Hearing:	March 22, 2005
Date of Award:	June 26, 2005
Relevant Contract Provision:	Article 32.2
Contract Year:	2000 - 2005
Type of Grievance:	Contract

Award Summary

The instant grievance is sustained for the reasons stated in the attached award. The remedy requested by the Union is modified as noted herein.

Thomas J. Fritsch
Arbitrator

OPINION

Background:

The facts in this matter are not in dispute. This case involves the same Highway Contract Route (HCR 11329/11330) that was the subject of Case No. A94V-1A-C97000587, which I ruled to be untimely in an earlier award. Both these cases were heard March 22, 2005 and many of the exhibits submitted by the parties applied to both cases. The difference, however, is that timeliness is not an issue in this matter. Therefore, unlike the first case, this one will be decided on the merits.

The instant grievance was initiated on March 27, 2002. The history of this run, that began as an emergency contract on September 22, 1990, from the around the date of the filing of the instant grievance is as follows:

7/1/01- HCR 11329 replaced by 2-year temporary contract HCR 11330.

3/8/02- HCR 11330 is terminated at the contractor's request because of financial insolvency.

3/9/02- New temporary contract awarded to another contractor.

3/6/04- HCR 11330 expires.
3/7/04- New 2-year temporary contract HCR 11330 is awarded to a different contractor.

It should be noted for the purposes of understanding the history of HCR 11329/11330, that it was established as a regular contract on January 31, 1992 and remained a regular contract until June 30, 2001 when it was not renewed and was replaced by temporary contract HCR 11330. It should also be noted that when it was made a regular contract

that the Union was not given notification and other required information at the National level as required by the provisions of Article 32.2 of the National Agreement.
At Step 2 of the grievance procedure, the Service's Step 2 decision in regard to the instant case stated in part:

"It's Management contention that the following contracts are not encompassed under the sections of the Article 32 process: Service involving any star route contracts let on a **temporary or emergency basis.** The requested contract information was issued under a **Temporary Contract** on March 09, 2002, and is specifically excluded from the provisions of **Article 32 section 2 part h. See Agreement between APWU and USPS, Handbook 912.**"

Based on the history of the instant contract and the above Step 2 answer, the Union appealed the instant grievance to arbitration. A hearing was held on March 22, 2005 along with several other grievances in Flushing, NY.

Issue:

The issue in this matter is as follows:

Did the Service violate the National Agreement when it subcontracted HCR 11330? If so, what should the remedy be?

Position of the Parties:

The position of the Union was outlined in arguments it raised during the hearing. The Union began by pointing to the fact that the run in question was a regular contract for almost nine years before the Service decided to make it a temporary run without explanation. The Union notes that the Service's own Publication 41 defines two situations in which a temporary contract can be utilized:

"(a) the need for the service is expected to be two years or less, or (b) the need for the service has been established, but the duration, frequency, or volume of mail are not

certain. Temporary contracts must be replaced with competitively awarded regular contracts as soon as the service requirements are firmly established."

The Union asserts that the Service has offered no explanation as to why this regular contract was replaced by a temporary one. The Union points out that neither of the conditions set forth above existed at the time that the Service converted to a temporary contract for a run that had been in place for approximately 11 years. The Union requests that the undersigned draw an adverse inference from the Service's actions in this matter. It suggests that the Service took the action that it did to avoid the requirements of Article 32.2 of the National Agreement. It contends that the Service promised the Union at the local level that the run in question would be returned to the PVS.

In view of the foregoing, the Union requests that the instant grievance be sustained.

The position of the Service was also summarized in arguments made during the hearing. The Service began by asserting that temporary and emergency contracts are excluded from the requirements of Article 32.2. It maintains that the Service has been consistent in its approach to temporary contracts through the years. The Service also claims that the monetary remedy requested by the Union is inappropriate because the Union did not establish that any qualified MVS operators were available to perform the cited work.

In view of the foregoing, the Service requests that the instant grievance be denied.

Discussion and Analysis:

In reviewing the arbitration awards that were submitted by the parties in this and a companion matter that I heard on the same day, there was an interesting quotation by Arbitrator Lewis that was excerpted from his award in Case No. B90V-1B-C 95039169. I believe that the following statement from that award applies to this matter:

"I note that on the one hand, the National Agreement between the Union and the Service would be meaningless if the Service were free to contract out on a self-declared emergency basis all work performed by the unit without limit or restriction. By the same token the Postal Service's authority to contract out on an emergency basis, based in the federal law and recognized in the National Agreement, cannot be construed as meaningless either."

In the instant matter, the Service established a regular contract for the run in question in January 1992; renewed the contract until June 30, 2001 when it inexplicably changed it to a temporary contract. It is noted that neither of the conditions for a temporary contract according to the Service's own procurement publication existed at either time the temporary contract was let. The Service then used this unexplained change as the primary reason for denying the instant grievance. It appears that by process of elimination, the only feasible reason for the Service to change to a temporary contract was to avoid the requirements of Article 32.2 that it did not even to bother to follow when the contract was let on a regular basis, according to the memorandum from the national Motor Vehicle Director to the national Manager of Contract Administration that did not contain any reference to notification concerning the contract in question.

In view of the foregoing, the instant grievance is sustained. In regard to remedy, the Union has requested that the runs in question be returned to the Motor Vehicle Craft. That remedy is granted. Secondly, the Union requests that TTO drivers on the overtime-desired list be compensated at the overtime rate for all hours performed by the contractor. That remedy is denied. The Union has not shown that any of its members were deprived of work during the period in question. This remedy is unlike the remedy requested in Case No. A94V-1A-C99195434 that I remanded to the parties for two reasons. First, the work in that grievance was discontinued making the return of the work to the Craft a moot issue. Second, since the return of the work is a moot issue in the other grievance, there must be a determination made as to an appropriate remedy for that violation. In the instant matter, the awarding of the work in question is a satisfactory solution to remedy the instant contract violation.

I will retain jurisdiction for the sole purpose of resolving any dispute concerning the remedy set forth above.



Thomas J. Fritsch
Arbitrator